Notice how the saving ratio reduces with age – the younger you are the less you need to save.

There is complicated maths behind these easy numbers that I am leaving out here. These are dealt with in Appendix.

But you're asking: What happens after age forty? If our goal is to retire at age sixty, the time left for savings to do their work gets reduced and you have to pull harder at the savings rate. By age fifty, if you really have not a single rupee saved, you must salt away 80 per cent of your post-tax income.

It is almost too late at fifty to save for retirement if you have nothing in the retirement kitty at all. But most of us do have something and it is good to add those numbers up to see what you have before you begin a big panic attack.

Multiply your spend

A better way to target a retirement number is to look at your current expenditure each month and each year. An expense multiplier is, in fact, a better way to crack the same problem, because at the same level of income, different families will have very different spending behaviour.

I know families that don't know where their money goes and others who have tiny expenses because of their chosen lifestyle. An expense multiplier assumes that you know how much you spend, but many families are clueless of their annual expense number – money comes in and money goes out.

If you have got your cash flows in place, you know your current annual expenses. Your first step is to use a simple future value calculator to see how much you will need today. For example, if your current annual expense is Rs 6 lakhs at age thirty, and we assume an inflation of 6 per cent, in thirty years, at age sixty, you will need Rs 34.46 lakhs a year.

You'll need 70 per cent of your last working year expense in your first non-working year. And then this expense will now grow at 6 per cent a year till you hit 100. I'm assuming you live till 100. What this means is that if you were spending Rs 1 lakh a month when you retired, your expenses will drop to Rs 70,000 a month in the first year post retirement.